Mortgage Loan Policy

Last updated: January 2025

Overview

This policy governs residential mortgage loans secured by real property. It covers loan types, eligibility, the application and underwriting process, appraisal and closing requirements, and ongoing servicing. A mortgage is a secured loan: the property serves as collateral and may be foreclosed upon in the event of default.

1. Mortgage Products

1.1 Fixed-Rate Mortgages

The interest rate is fixed for the entire term. Standard terms are 15, 20, and 30 years. The principal-and-interest payment remains constant for the life of the loan.

1.2 Adjustable-Rate Mortgages (ARM)

An ARM carries a fixed introductory rate for an initial period (commonly 5, 7, or 10 years), after which the rate adjusts periodically based on a published index plus a margin. Adjustment caps limit how much the rate can change per period and over the life of the loan.

1.3 Jumbo Loans

Loans exceeding the conforming loan limit are classified as jumbo loans and carry stricter credit, reserve, and down-payment requirements.

1.4 Government-Backed Loans

We originate FHA, VA, and USDA loans for eligible borrowers. These programs have their own eligibility rules, mortgage-insurance requirements, and occupancy conditions that supplement this policy.

2. Eligibility And Down Payment

2.1 Credit Requirements

A minimum FICO score of 620 is generally required for conventional financing. Government-backed programs may permit lower scores. Higher scores qualify for better pricing.

2.2 Down Payment

Conventional loans require a minimum down payment of 3% to 5% for qualified first-time buyers, and typically 20% to avoid private mortgage insurance (PMI). FHA loans require a minimum of 3.5% down.

2.3 Private Mortgage Insurance

When the down payment is less than 20%, PMI is required and added to the monthly payment. PMI may be cancelled once the loan-to-value ratio reaches 80%, and is automatically terminated at 78%, subject to a good payment history.

2.4 Debt-To-Income Ratio

The maximum total debt-to-income ratio is generally 43%, and in some cases up to 50% with strong compensating factors such as cash reserves or a high credit score.

2.5 Cash Reserves

Borrowers may be required to document two to six months of mortgage payments in reserve, depending on the loan type and number of financed properties.

3. Application And Documentation

3.1 Preapproval

Preapproval involves a full credit review and verification of income and assets, and produces a letter stating the maximum amount the borrower qualifies for. Preapproval is valid for 90 days.

3.2 Required Documents

- Two years of W-2s or tax returns
- Recent pay stubs covering 30 days
- Two months of bank and asset statements
- Government-issued identification
- Purchase agreement (for a purchase) or current mortgage statement (for a refinance)

3.3 Self-Employed Borrowers

Self-employed applicants must provide two years of personal and business tax returns, a year-to-date profit-and-loss statement, and business license or equivalent documentation.

4. Underwriting

4.1 Underwriting Review

Underwriting verifies that the loan meets credit, income, asset, and collateral requirements. The underwriter may issue conditions that must be satisfied before final approval.

4.2 Appraisal

An independent appraisal is required to confirm the property's market value. If the appraised value is below the purchase price, the borrower may renegotiate, pay the difference, or cancel under the appraisal contingency.

4.3 Title And Insurance

A title search and title insurance are required to confirm clear ownership. Borrowers must obtain a homeowner's insurance policy effective on the closing date, with the lender named as mortgagee.

4.4 Rate Lock

A borrower may lock the interest rate for 30, 45, or 60 days. If the loan does not close before the lock expires, an extension fee may apply or the rate may be re-priced at current market rates.

5. Closing

5.1 Closing Disclosure

The Closing Disclosure, itemizing the final loan terms and costs, must be delivered to the borrower at least three business days before closing.

5.2 Closing Costs

Closing costs typically range from 2% to 5% of the loan amount and include origination fees, appraisal, title, recording, and prepaid escrow items.

5.3 Right Of Rescission

For a refinance of a primary residence, the borrower has a three-business-day right to rescind after closing. Funds are not disbursed until the rescission period ends.

5.4 Funding

For a purchase, funds are disbursed at closing once all documents are signed and conditions are cleared. The borrower receives the keys after recording and funding.

6. Escrow And Servicing

6.1 Escrow Account

Most loans include an escrow account that collects property taxes and homeowner's insurance as part of the monthly payment and pays them when due. The escrow portion is reviewed annually and adjusted.

6.2 Monthly Payment Components

The monthly payment generally consists of principal, interest, taxes, and insurance (PITI), plus PMI when applicable.

6.3 Annual Escrow Analysis

Each year we analyze the escrow account. A shortage may raise the monthly payment or require a lump-sum deposit; a surplus over $50 is refunded.

6.4 Prepayment

Borrowers may make extra principal payments at any time without penalty, which reduces the loan balance and total interest paid.

7. Refinancing

Refinancing replaces the existing mortgage with a new loan, typically to lower the rate, change the term, or access home equity. Refinancing requires a new application, credit review, and appraisal. See the Refinancing Policy for details.

8. Default And Foreclosure

8.1 Delinquency

A payment is delinquent if not received by the end of the grace period. Late fees apply and delinquency is reported to credit bureaus after 30 days.

8.2 Loss Mitigation

Borrowers facing hardship may qualify for forbearance, repayment plans, loan modification, or other loss-mitigation options. Borrowers should contact servicing as early as possible.

8.3 Foreclosure

If the loan remains in default and loss-mitigation efforts are unsuccessful, the lender may initiate foreclosure to recover the debt by selling the property, subject to applicable state law and required notices.

9. Contact

Our mortgage team is available Monday through Friday 8 AM to 7 PM by phone at 1-800-555-0167, by secure message in the online portal, or by email at mortgage@bankexample.com.